Strategy

Corporate capex broad basing and nearing ~INR 12trn; hedge against AI capex euphoria

Corporate capex of the listed space, over the trailing twelve months (TTM) ending Sep'25, continues to expand and has reached INR 11.7trn. Consequently, the combined capex of listed corporates, centre and state has reached an all-time high of INR 31.6trn on a TTM basis. Within listed corporates, top sectors with >INR 1trn capex contribution each are utilities, energy Reliance Ind., metals, industrials and autos, in that order. More encouragingly, capex expansion is becoming broad based – the count of companies with >USD 100mn annual capex has grown to 169 (vs. 135 in FY24), predominately comprised of sectors such as industrials (42), autos (19), metals (17) and consumption (17), followed by energy, utilities and healthcare at 15 each. Aforementioned trends indicate that the relatively less capital-intensive sectors such as autos, consumption and healthcare are also showing meaningful capex contribution in terms of the number of stocks with capex of >USD 100mn.

Capex up-cycle perspective: Top picks

Sectors: Corporate lenders, capital goods, materials, and capex-driven industrials.

Companies: SBI, Axis Bank, L&T, BHEL, JSW Energy, NTPC, Reliance Ind., HPCL, Vedanta, Bharti Airtel, Ambuja cement, Suzlon Energy and GR infraprojects.

Inward-looking policies, globally, to buoy capex cycle

- The era of de-globalisation and inward-looking policies globally is nudging nations towards self-reliance in core sectors and abridging reliance on import.
- Aforementioned trend will likely be a further fillip to the investment rate, as India builds domestic capacity in various areas such as energy, defence, rare-earth, infrastructure, manufacturing and digital infrastructure.
- **India capex upcycle is an AI hedge**. Unlike US, where capex growth is AI-led now, old-economy sectors are fuelling India's capex growth; thereby, positioning India as a hedge against the AI euphoria in CY26 (**Exhibit 9 and 10**).
- In H1FY26, the investment rate has reached a cycle-high of ~34%, with relatively better ICOR of ~4, reflecting higher productivity of capex.
- A real estate upcycle is further catalysing the overall investment rate in the economy; although, it is yet to become broad based, as affordable housing is yet to pick up.

Lower real interest rate required for capex boom

- Real interest rates from a corporate capex cycle perspective – measured as ''weighted average lending rates minus the GDP deflator' – is still high given the significant undershooting of both WPI and CPI (**Exhibit 36**). However, continuation of rate cuts by RBI, along with normalising of inflation numbers going ahead, could potentially lower the real interest rates. We believe this would be a positive for the 'investment rate'.

Internal and external financial resources aplenty

- Profit/GDP of India inc. has reached 5.2% of GDP (refer report), largely driven by the cyclical sectors; thereby, boosting their internal financial resources. High internal cash generation has allowed corporates to bring the financial leverage to cycle-low levels, from where the re-leveraging can begin.
- Conditions for raising external capital via debt are extremely conducive driven by cycle-low corporate NPAs as well as low corporate credit growth, allowing a significant runway ahead from a cycle perspective. Buoyant equity markets continue to preserve the viability of equity financing as a path.

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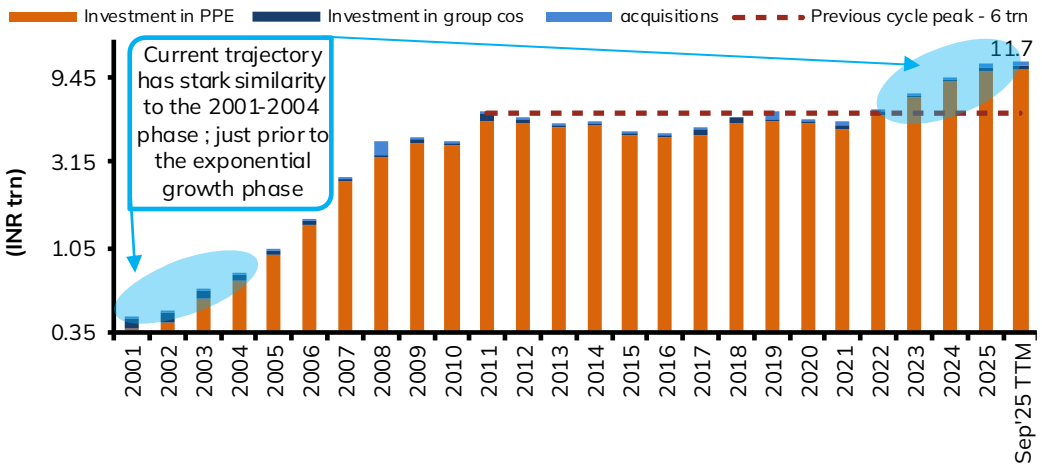
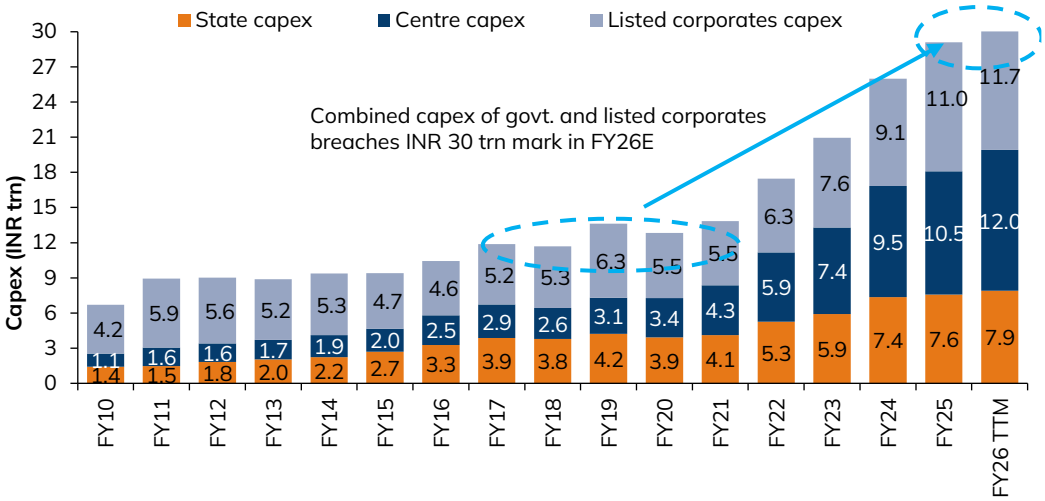
Exhibit 1: Corporate capex (listed space) approaching INR 12trn, as on Sep'25



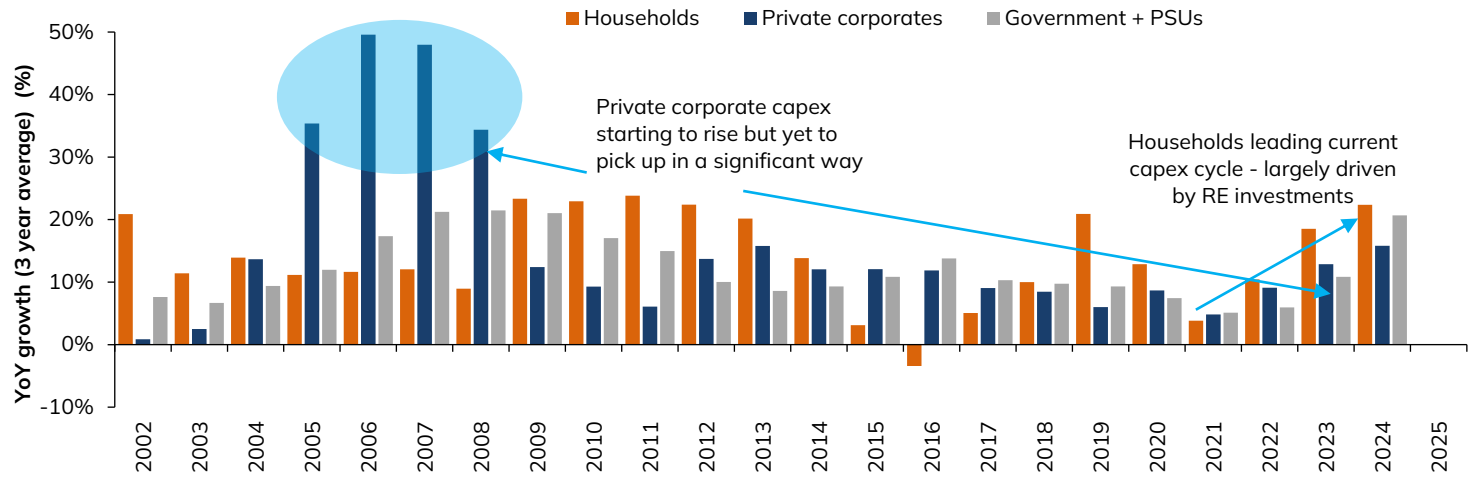
Source: Capitaline, I-Sec Research

Exhibit 2: Combined capex of listed space, centre and state rises to INR 31.6trn



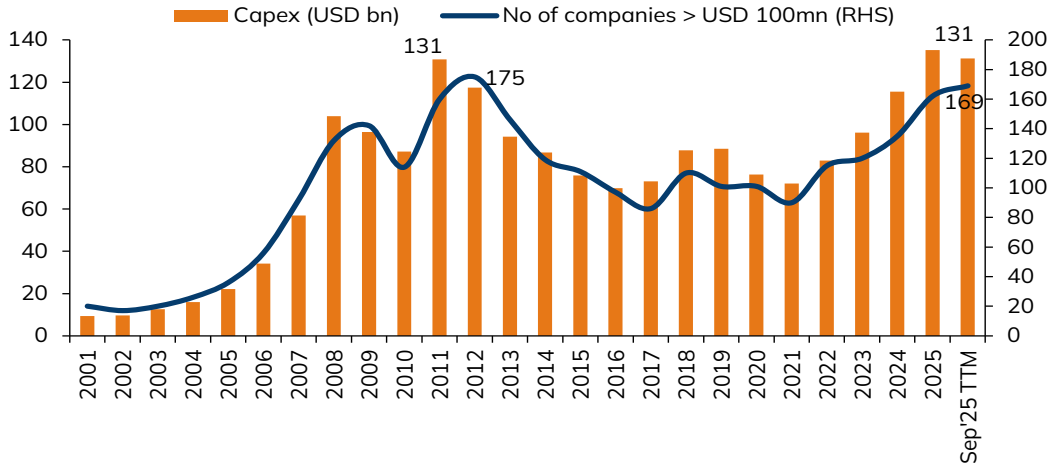
Source: CEIC, Capitaline, I-Sec Research

Exhibit 3: Post Covid-19, growth in GFCF has been driven by real estate investments by households and central government capex; private corporate and state capex is yet to pick up meaningfully



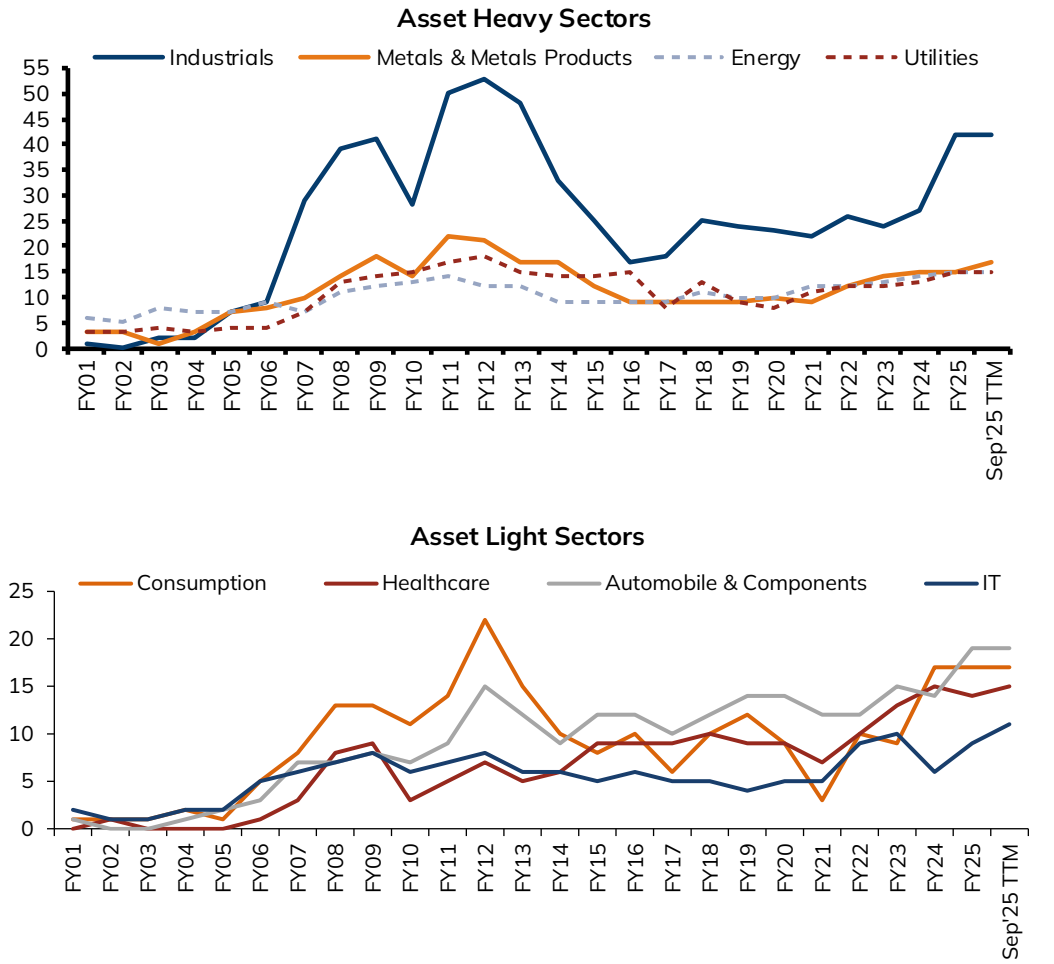
Source: CEIC, National Accounts Statistics, I-Sec Research

Exhibit 4: Broad-basing of capex cycle – no. of stocks >USD 100mn capex rises



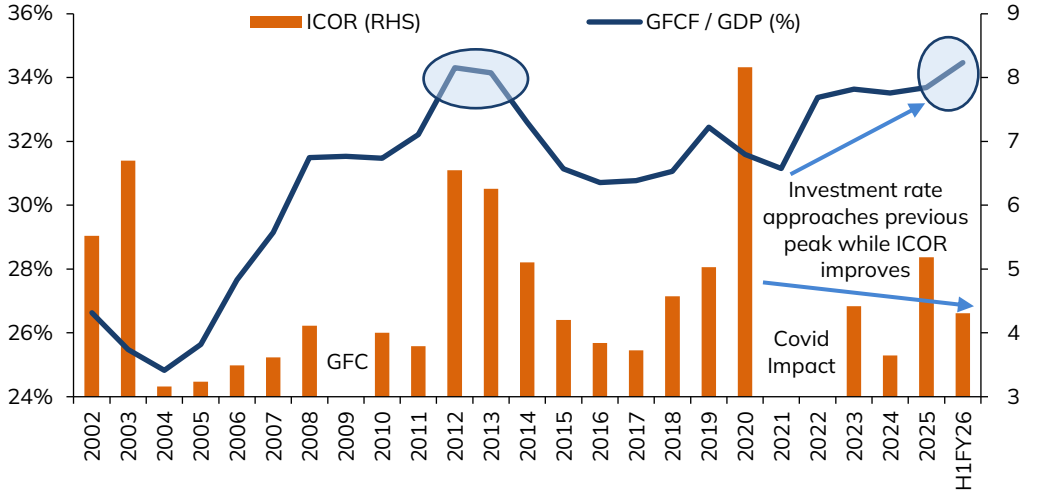
Source: Capitaline, I-Sec Research

Exhibit 5: Broad-basing of capex – no. of stocks with capex >USD 100mn (sector wise)



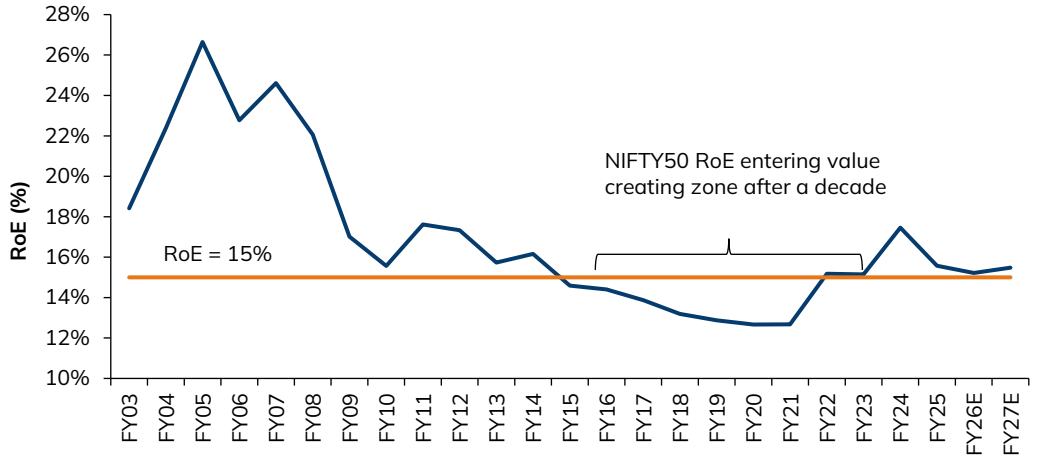
Source: Capitaline, I-Sec Research

Exhibit 6: Investment rate approaches previous peak, with rising productivity of capital (improving ICOR)



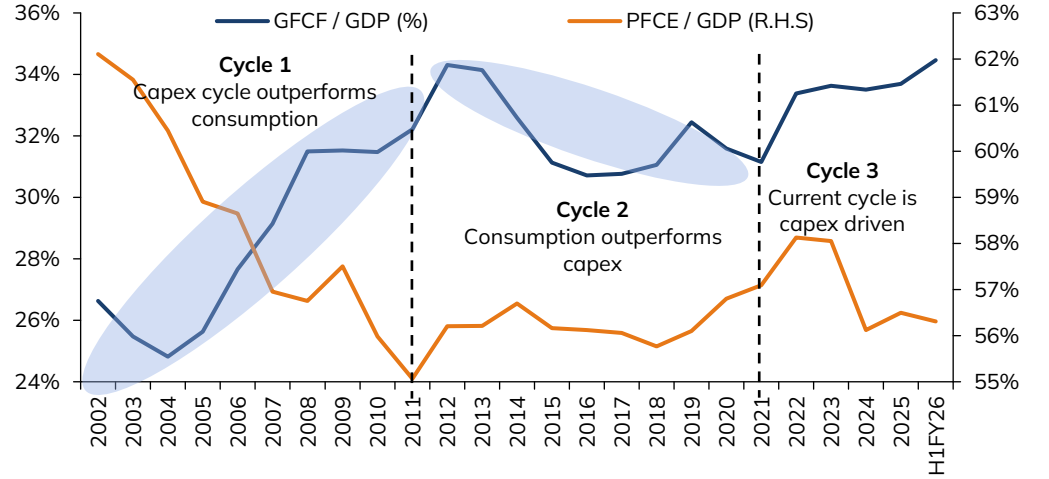
Source: CEIC, I-Sec Research

Exhibit 7: Improving productivity of capital reflects in NIFTY50's RoE rising above the value-creation zone



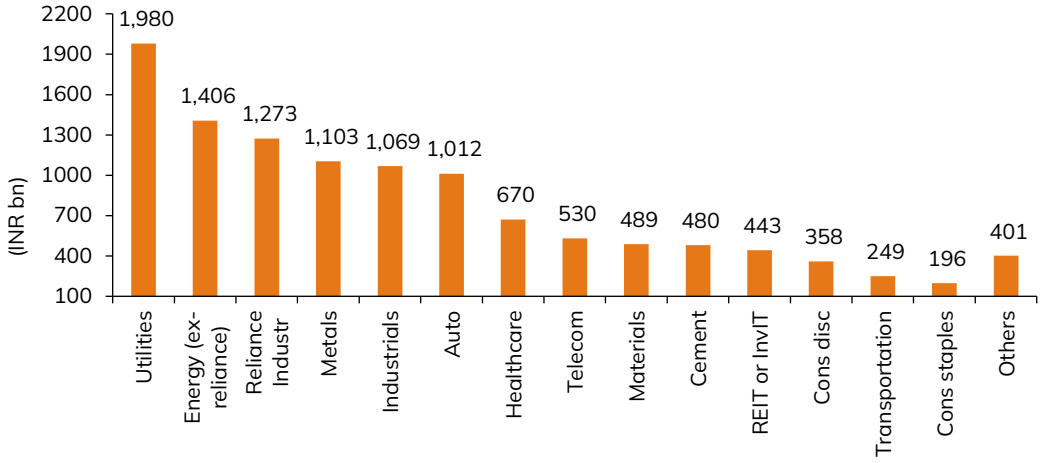
Source: Capitaline, Bloomberg, I-Sec Research

Exhibit 8: Investment rate share in economy rising faster, relative to consumption



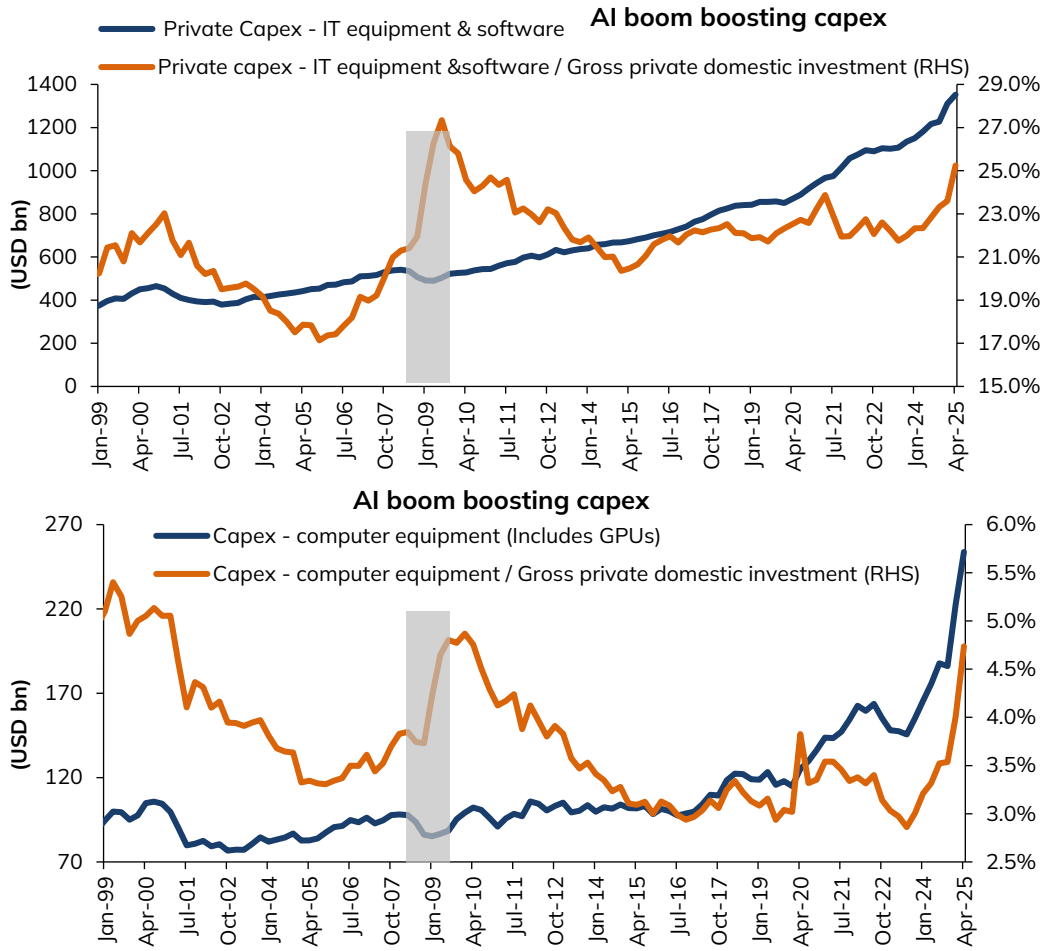
Source: CEIC, I-Sec Research

Exhibit 9: Old-economy sectors drive capex in listed space, making India an AI euphoria hedge



Source: Capitaline, I-Sec Research

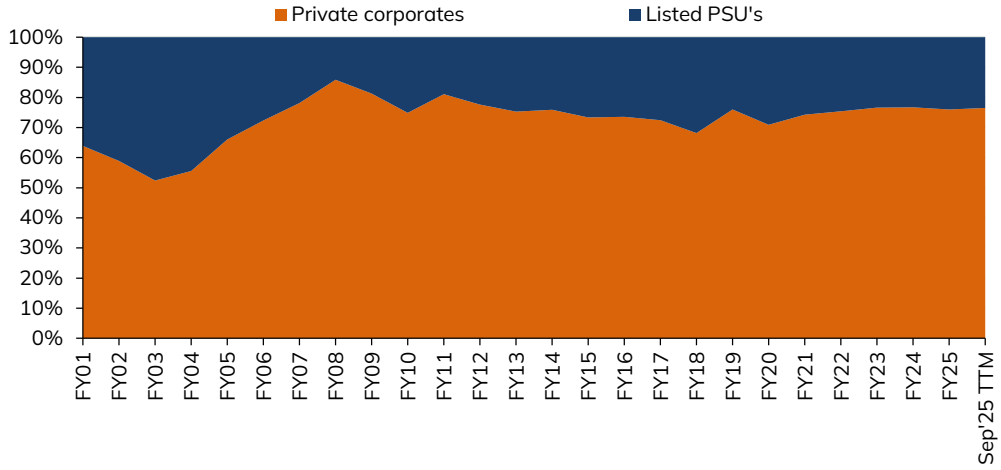
Exhibit 10: Surge in capex spend in US on AI raises concern on misallocation of capital



Source: U.S. Bureau of Economic Analysis via FRED, I-Sec Research

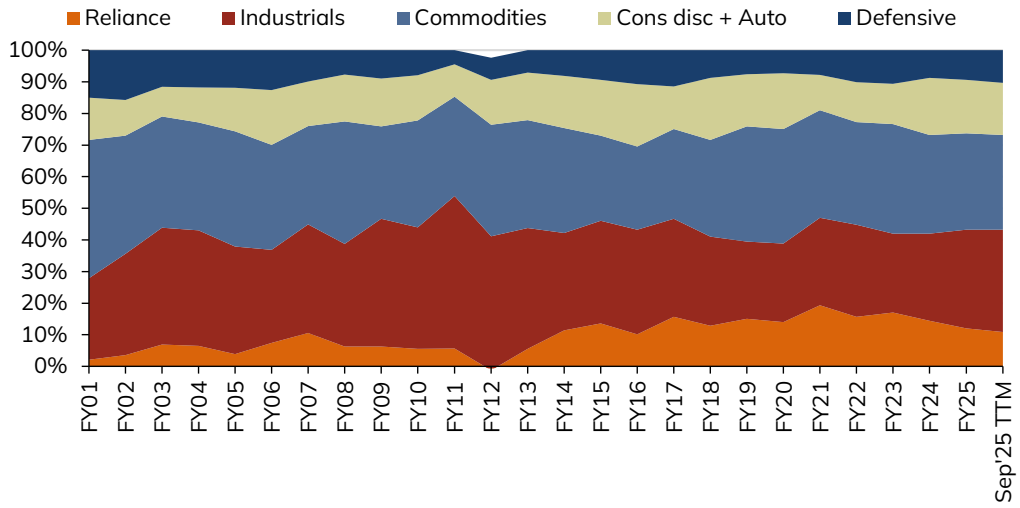
Note: Computer equipment is a part of overall spend on IT equipment & software

Exhibit 11: Listed space corporate capex – contribution of private corporates rising



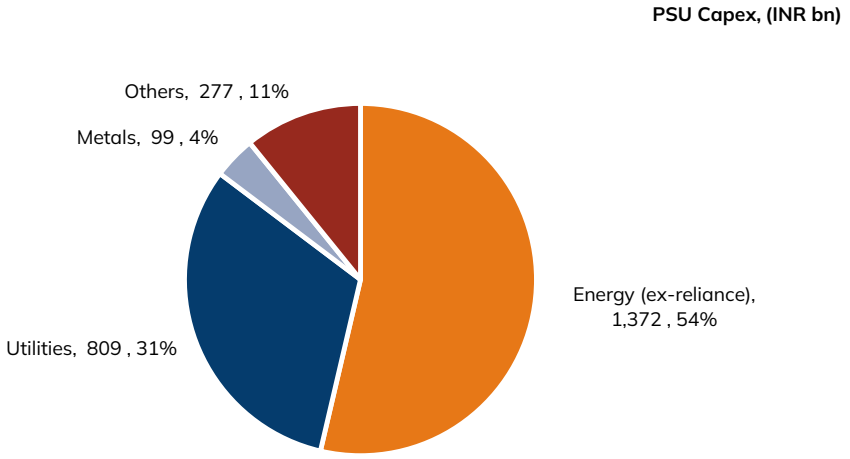
Source: Capitaline, I-Sec Research

Exhibit 12: Listed space corporate capex sectoral distribution trend



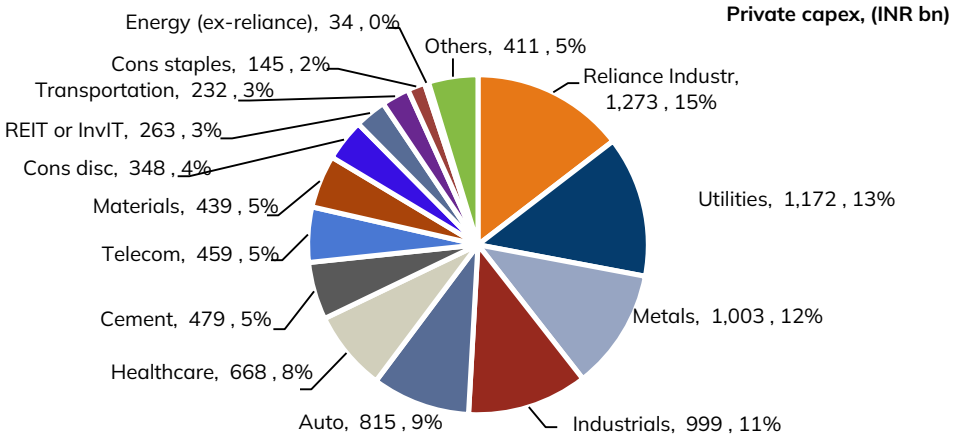
Source: Capitaline, I-Sec Research

Exhibit 13: Energy and utilities led public sector capex (INR 2,558bn)



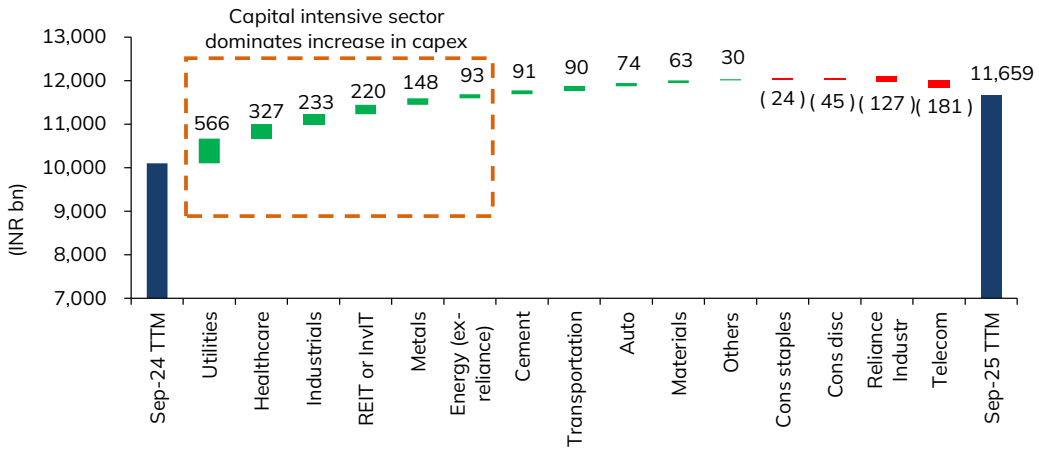
Source: Capitaline, I-Sec Research

Exhibit 14: Private sector capex dominated by energy (conglomerates), utilities, metals, industrials and auto (INR 8,739bn)



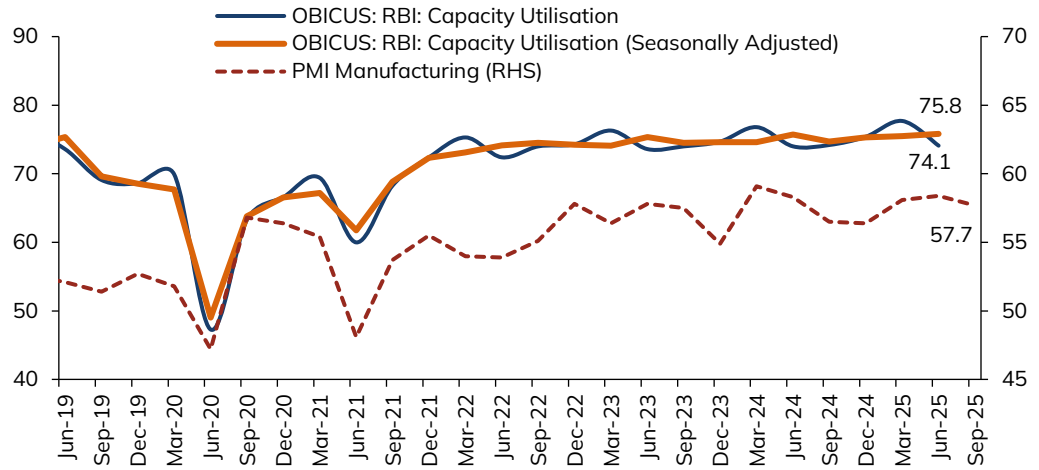
Source: Capitaline, I-Sec Research

Exhibit 15: Utilities, healthcare, industrials, REIT/InvIT, metals and energy (ex-reliance) dominate incremental increase in capex over TTM



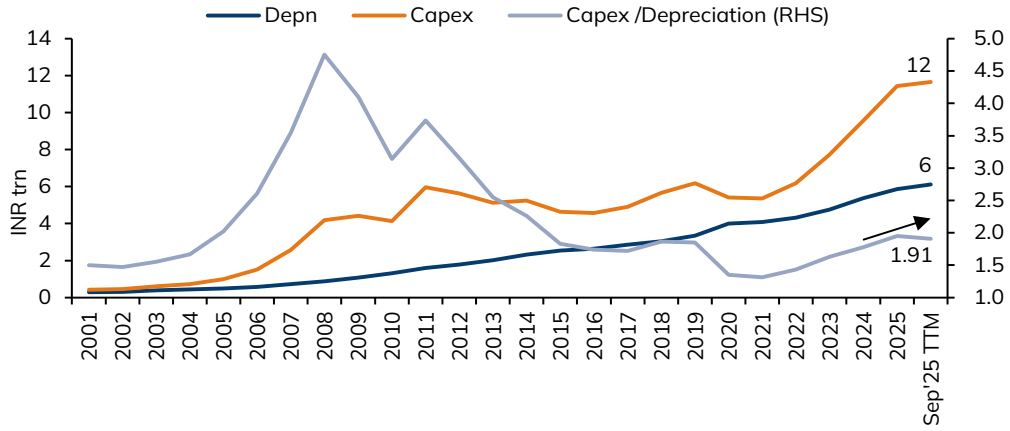
Source: Capitaline, I-Sec Research

Exhibit 16: Capacity utilisation levels are reaching an inflection point



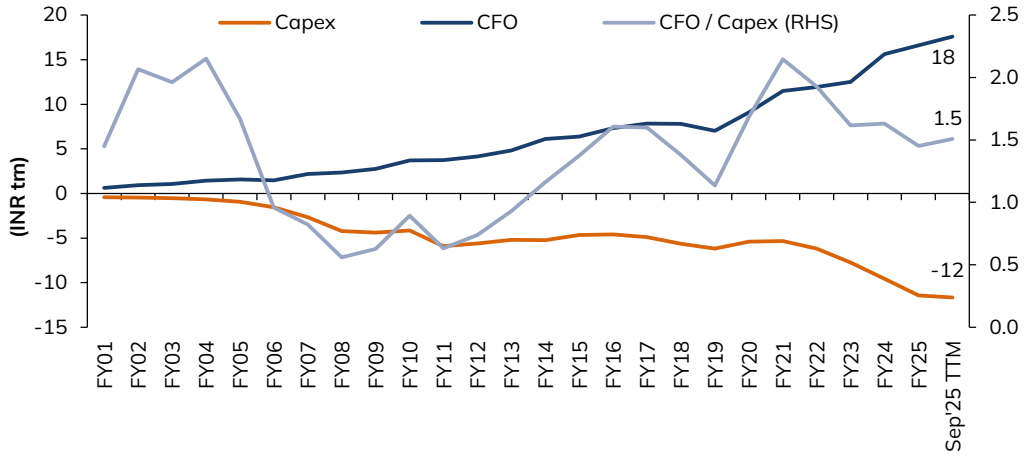
Source: RBI, I-Sec Research

Exhibit 17: Capex to depreciation ratio rising from bottom, indicating transition from 'maintenance capex to discretionary capex'



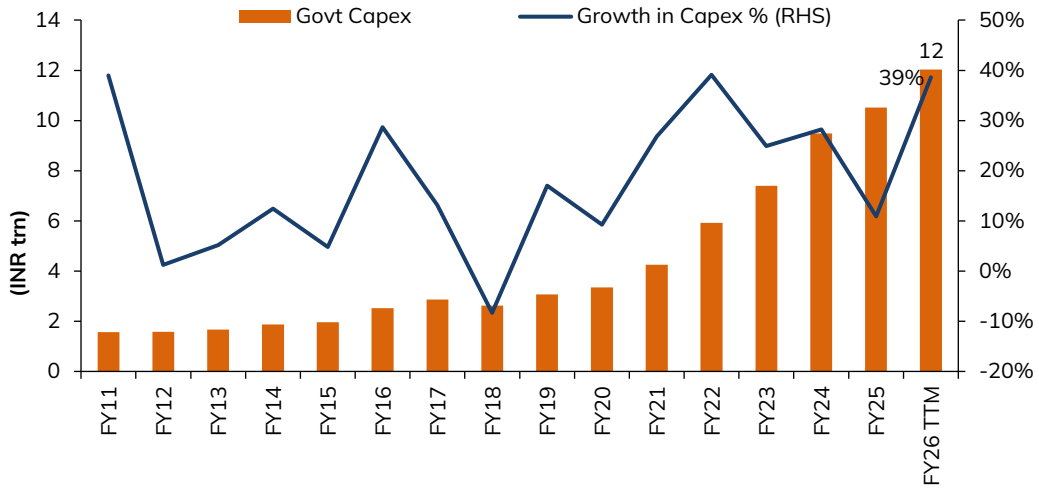
Source: Capitaline, I-Sec Research

Exhibit 18: CFO/capex has started dipping although still relatively high – sharp dip will likely be a key driver for corporate loan growth



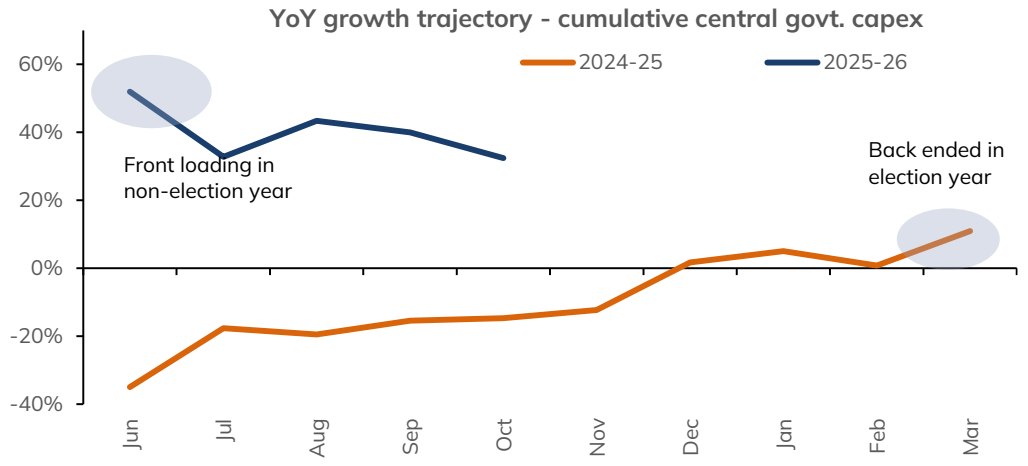
Source: Capitaline, I-Sec Research

Exhibit 19: Central government capex trend



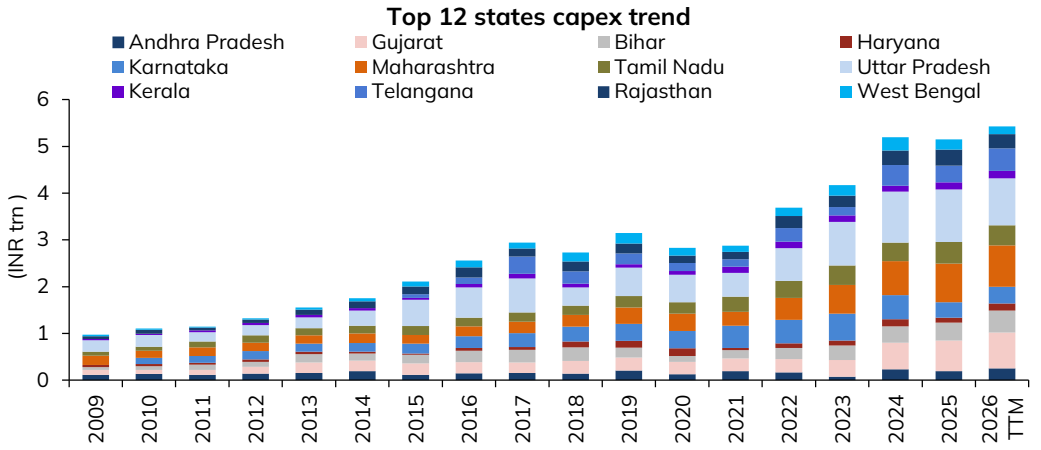
Source: CEIC, I-Sec Research

Exhibit 20: Non-election year resulting in front-loading of government capex



Source: CGA website, I-Sec Research

Exhibit 21: State-wise capex trend



Source: CEIC, I-Sec Research

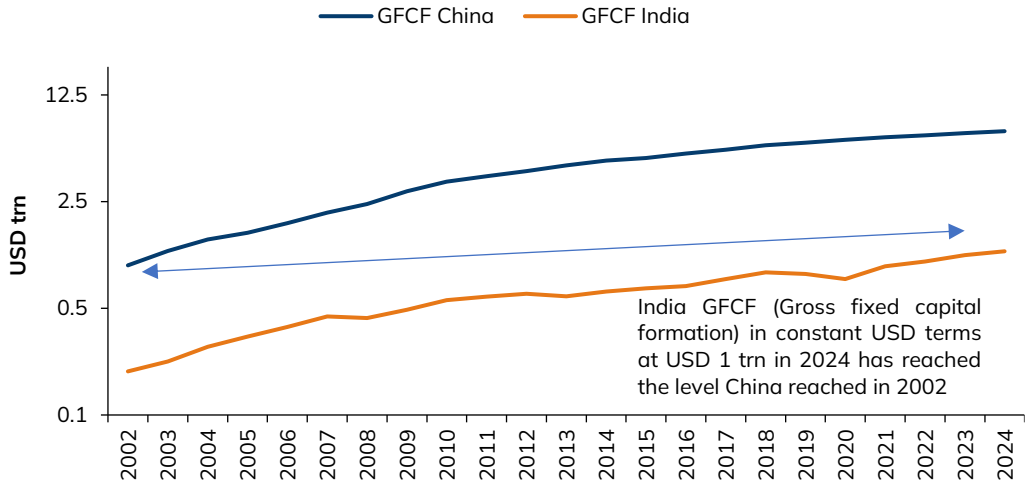
Exhibit 22: State-wise capex distribution

INR bn	FY25		FY26		
State	Budget	Actual	Budget	Actual	% Budget Utilised
Uttar Pradesh	1,477	1,125	1,652	321	19%
Maharashtra	950	827	845	317	38%
Gujarat	702	655	955	387	40%
Madhya Pradesh	649	716	825	394	48%
Odisha	554	460	650	162	25%
Karnataka	544	605	682	179	26%
Tamil Nadu	468	461	572	167	29%
Rajasthan*	383	344	537	121	22%
Jammu and Kashmir*	196	123	268	25	9%
West Bengal	291	217	393	68	17%
Telangana	331	362	365	293	80%
Andhra Pradesh	241	192	406	139	34%
Bihar*	437	383	405	219	54%
Assam	339	264	294	133	45%
Jharkhand*	191	184	226	41	18%
Chhattisgarh	230	213	263	46	17%
Haryana	128	105	162	149	92%
Kerala	141	146	169	90	53%
Uttarakhand	118	112	148	44	30%
Manipur*	86	27	-	5	NA
Arunachal Pradesh*	105	104	88	1	1%
Punjab	83	70	103	25	24%
Himachal Pradesh	88	63	39	19	47%
Tripura	72	47	69	12	17%
Meghalaya*	59	52	70	10	15%
Sikkim*	43	35	45	11	25%
Nagaland*	44	36	30	11	36%
Mizoram	26	20	22	4	19%
Total (A+B)	**8,974**	**7,950**	**10,285**	**3,391**	**33%**

Source: CEIC, I-Sec Research

Note: *Rajasthan, Jammu & Kashmir, Bihar, Jharkhand, Manipur, Arunachal Pradesh, Meghalaya, Sikkim and Nagaland data is available Sep'25. Rest all states data is available till Oct'25.

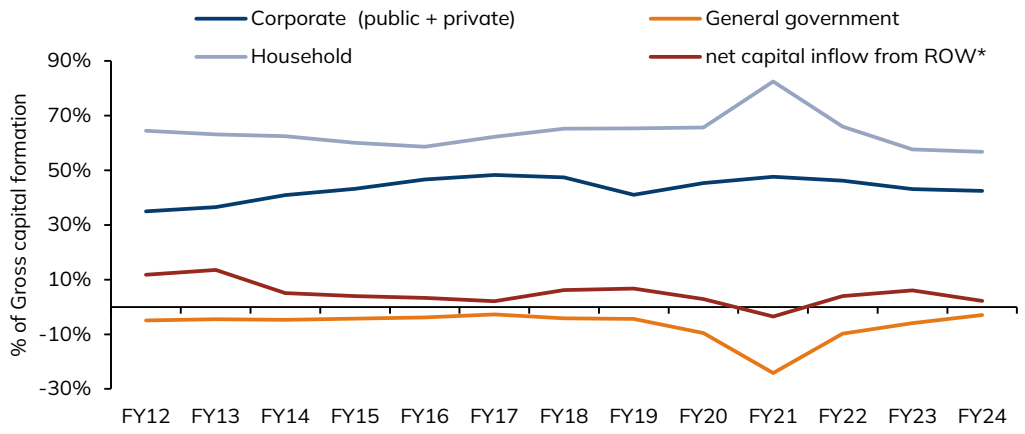
Exhibit 23: India's GFCF is close to what China's was two decades ago; India could aspire for a similar trajectory, should all catalysts align



Source: World Bank, I-Sec Research

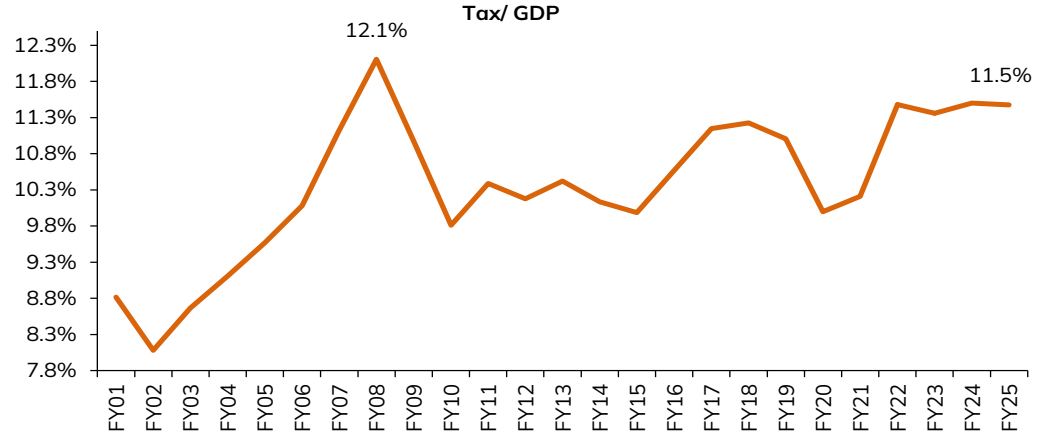
Availability of financial resources: Gross domestic savings and net capital inflow

Exhibit 24: Gross savings and net foreign inflows finance capital formation



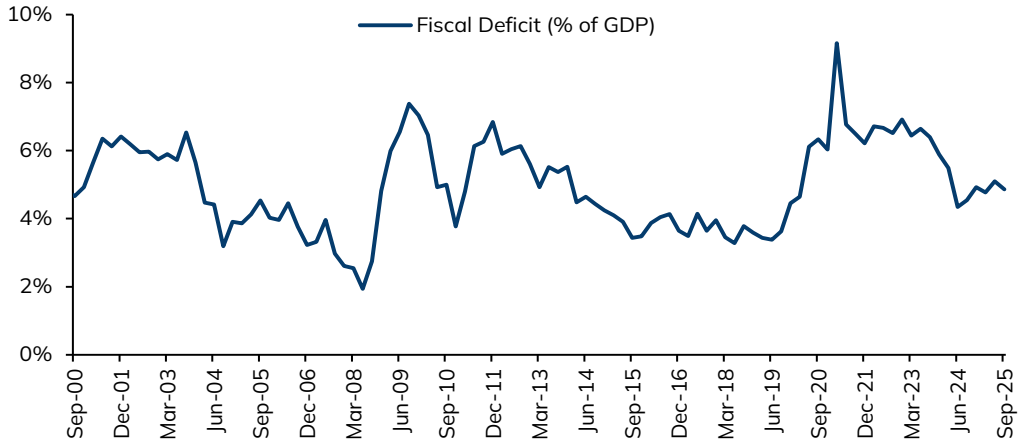
Source: National Account Statistics, CEIC I-Sec Research **Note:** *ROW represents rest of the world

Exhibit 25: Higher tax buoyancy in recent times indicates sufficient availability of financial resources for government



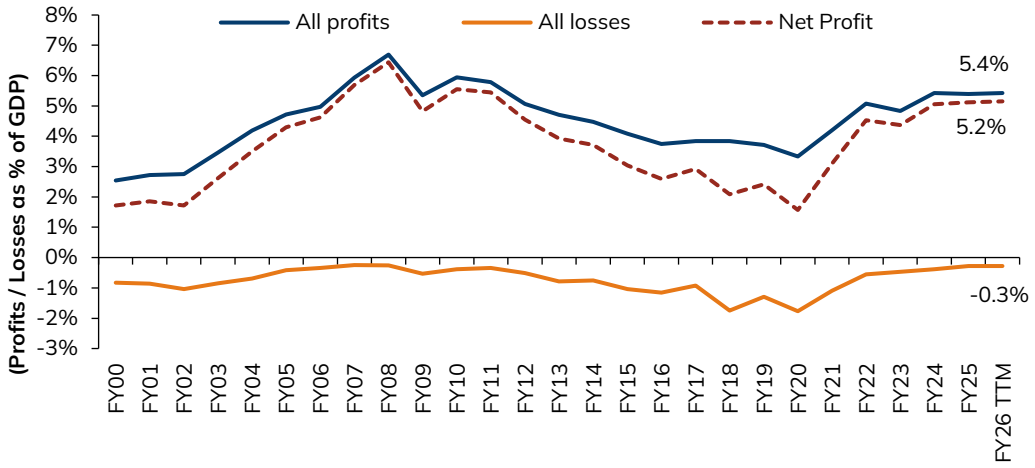
Source: CEIC, I-Sec Research

Exhibit 26: Fiscal deficit outlook is improving significantly – to have a crowding-in effect on corporate borrowing



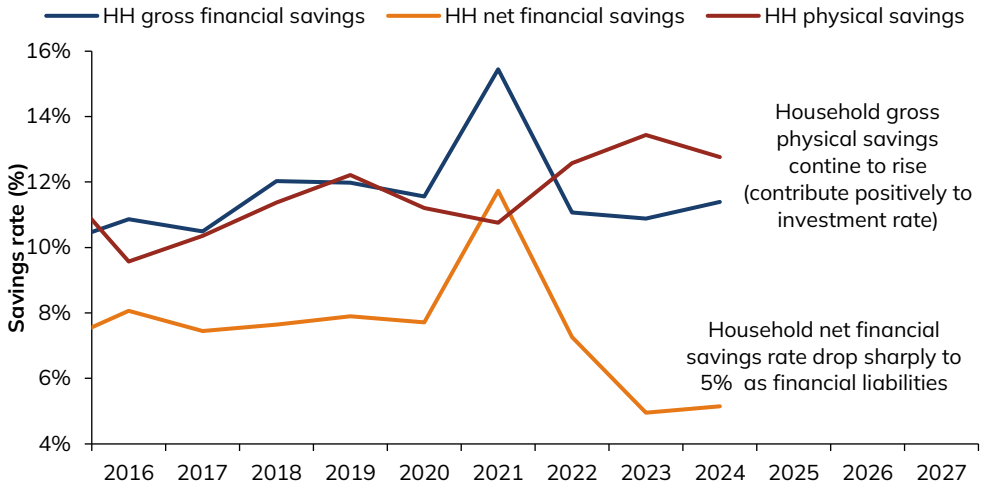
Source: CEIC, I-Sec Research **Note:** Numbers are on trailing twelve-month basis.

Exhibit 27: PAT/GDP of listed corporates nudges up to 5.2%



Source: Bloomberg, Capitaline, CEIC, I-Sec Research

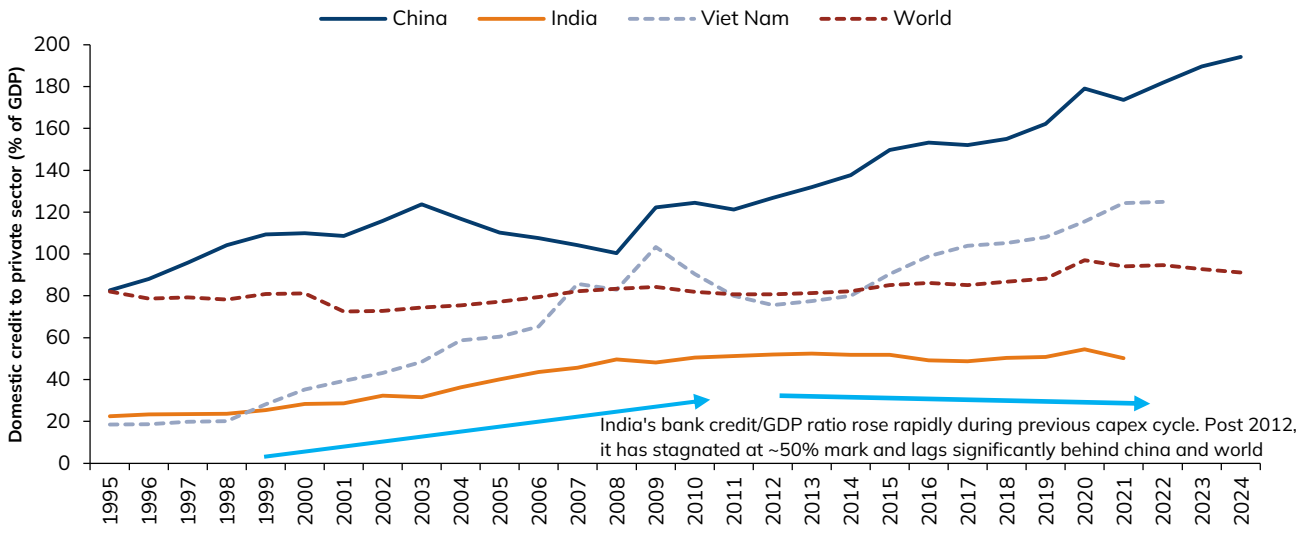
Exhibit 28: Dip in net financial savings of households is driven by rise in financial liabilities (mortgages) to fund gross savings in physical assets (real estate)



Source: MOSPI, National Accounts Statistics, CEIC, I-Sec Research

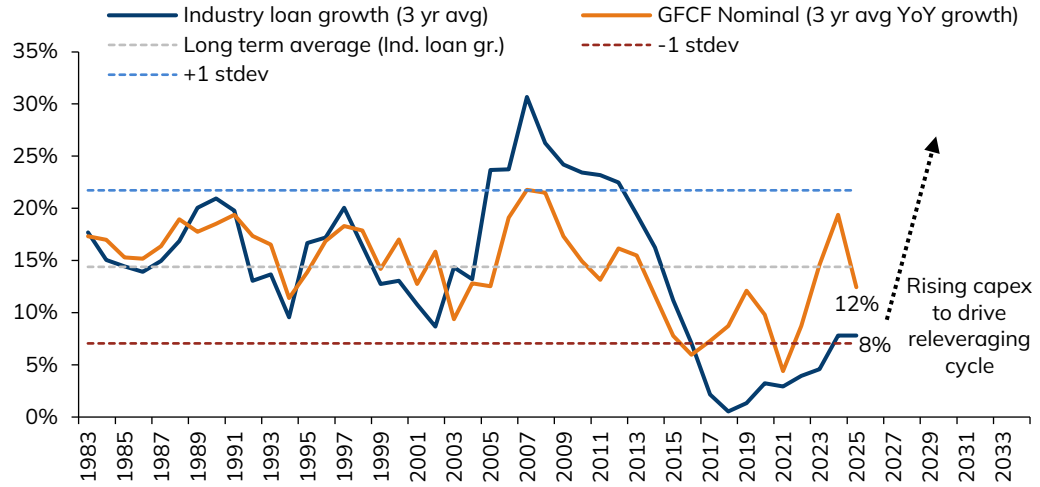
Industry credit cycle is at the bottom

Exhibit 29: 'Bank credit/ GDP' ratio has driven capex cycles in countries like China; for India, it stagnated post-2012 as 'investment rate' fizzled out



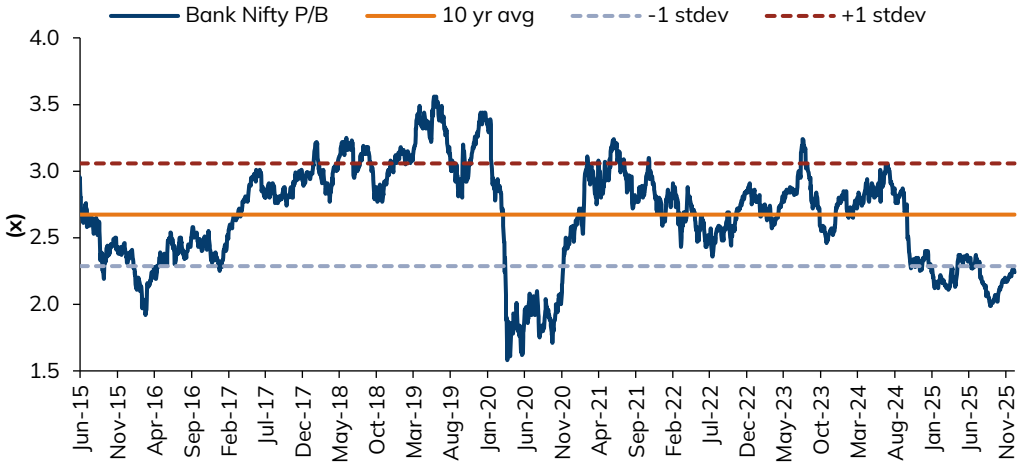
Source: World Bank, I-Sec Research

Exhibit 30: Empirical evidence pointing towards significant industry re-leveraging cycle ahead given the low base and capex cycle beginning to fire on all cylinders



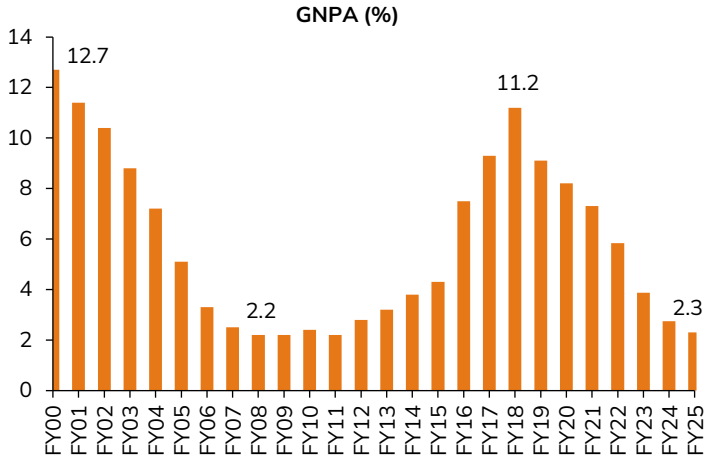
Source: CEIC, I-Sec Research

Exhibit 31: Bank Nifty P/B below -1 SD gives valuation comfort given the imminent re-leveraging cycle



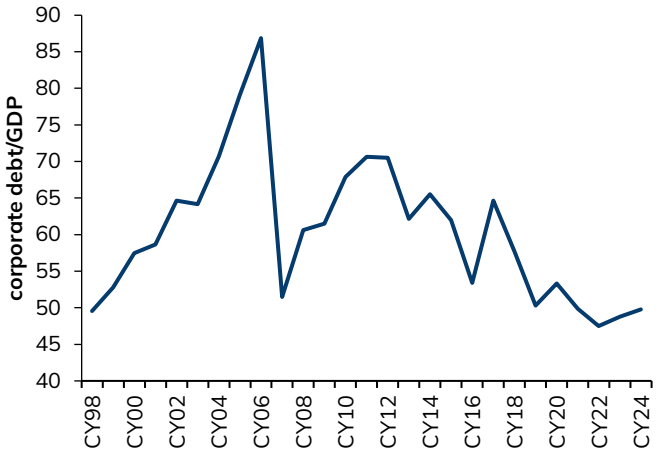
Source: Nifty indices, I-Sec Research

Exhibit 32: NPA cycle continues to drop to a cyclical low...



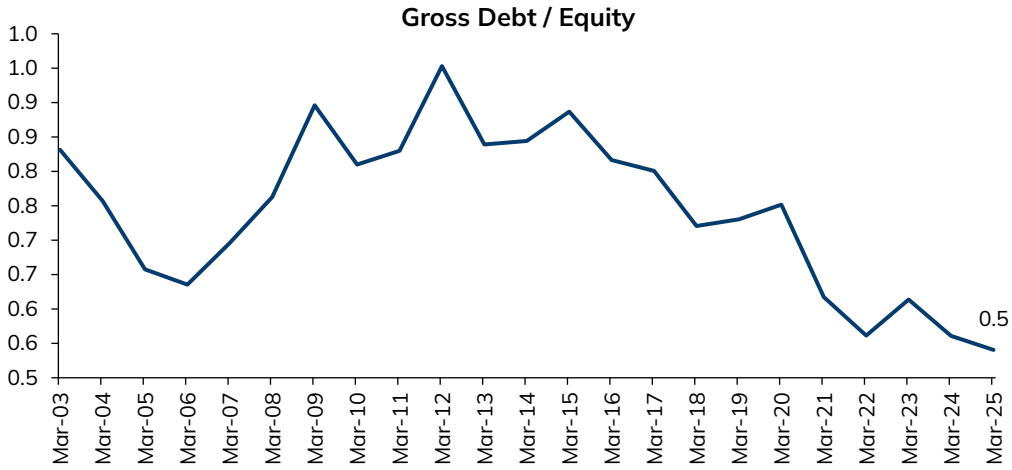
Source: RBI, I-Sec Research

Exhibit 33: ...with corporate debt/GDP at cyclical low...



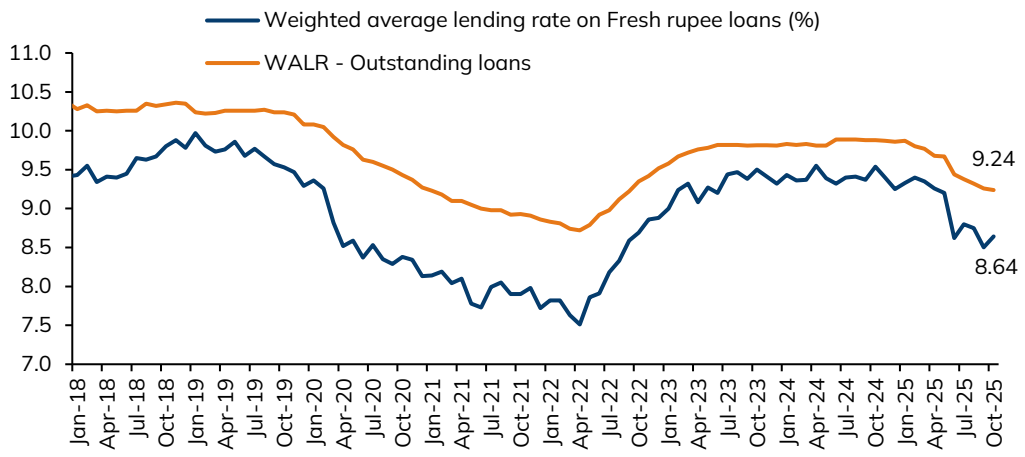
Source: IMF, I-Sec Research

Exhibit 34: ...along with listed corporate gross debt/equity at cyclical low



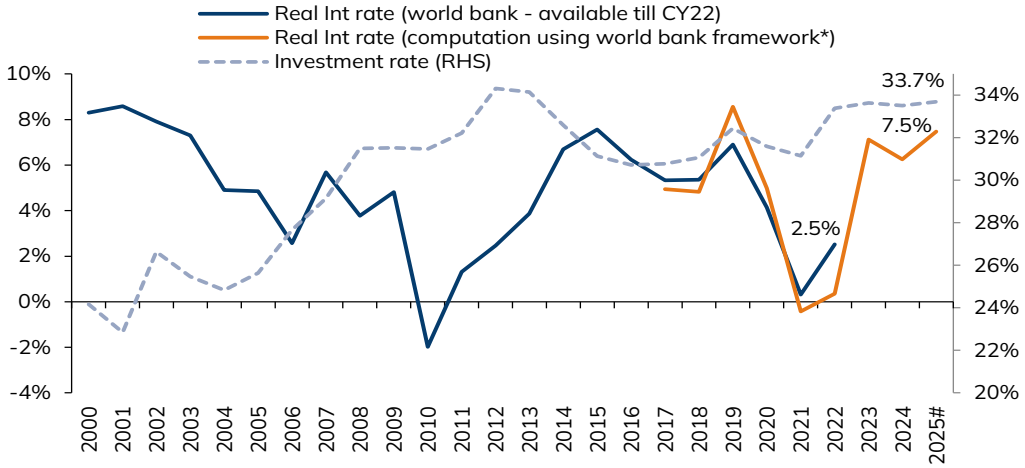
Source: Capitaline, I-Sec Research

Exhibit 35: Interest rate cuts positive for investment rate....



Source: RBI, I-Sec Research

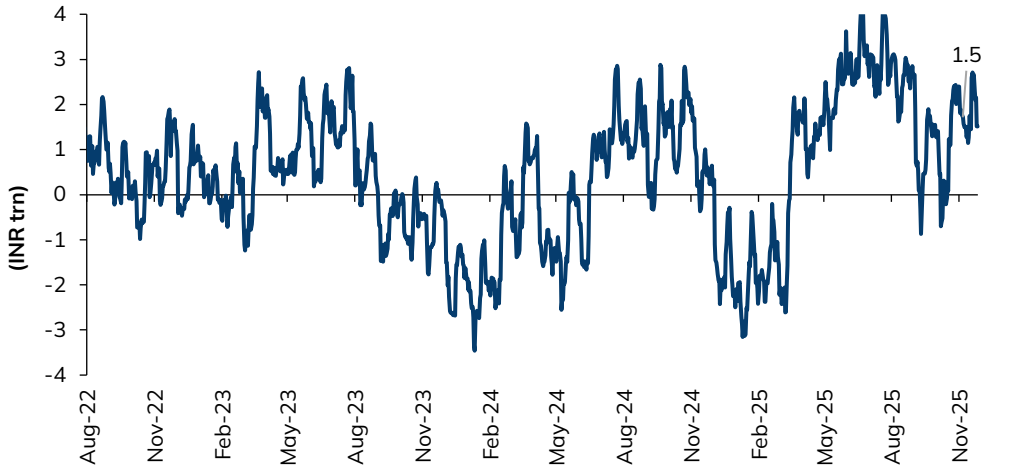
Exhibit 36: ...however, real interest rates for corporates remains elevated due to a sharply undershooting inflation trajectory



Source: World Bank, CEIC, I-Sec Research

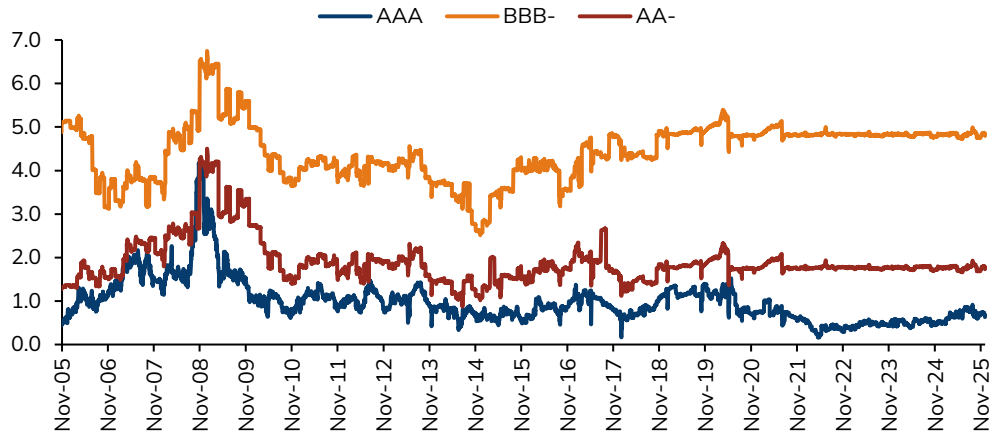
Note: Our real Int rate computation is based on the world bank framework of weighted average lending rate on fresh rupee loans minus GDP deflator or avg. of CPI + WPI, whichever is available. 2025# represents average of CYTD data for real int rate.

Exhibit 37: Banking system liquidity in surplus territory



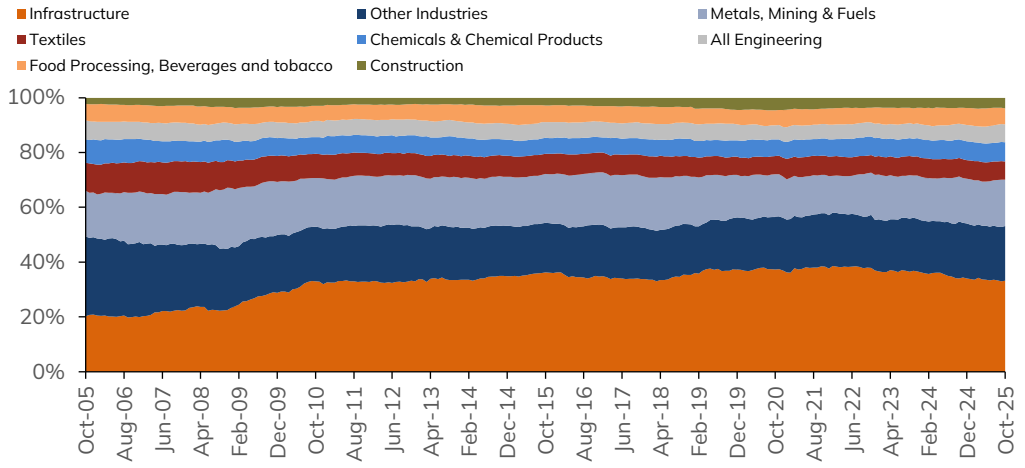
Source: CEIC, I-Sec Research

Exhibit 38: Corporate bond yield spreads over 10-year government bond does not indicate any severe liquidity crunch, especially for AAA-rated securities



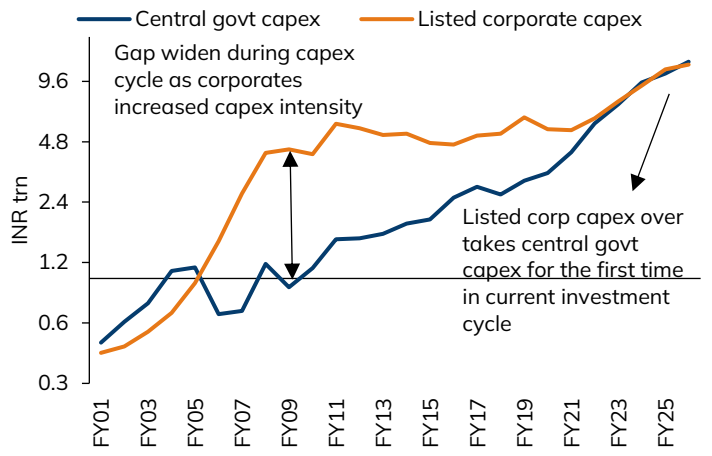
Source: Bloomberg, I-Sec Research

Exhibit 39: India's industry credit breakup – infrastructure's share rises; other industries' falls



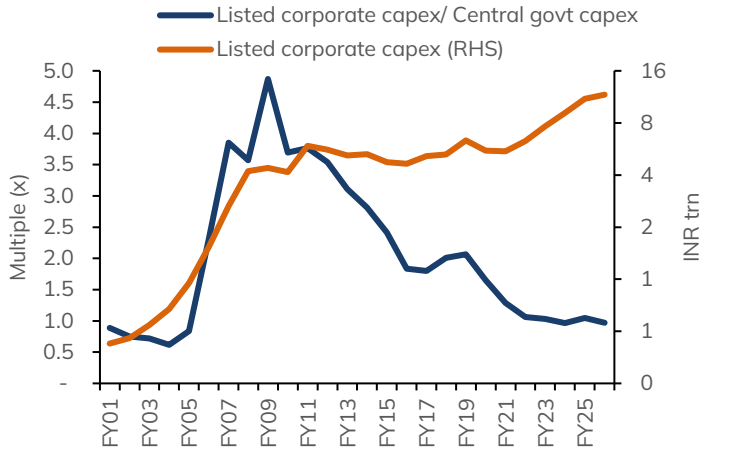
Source: CEIC, I-Sec Research

Exhibit 40: Cycle-low gap relative to central govt. capex



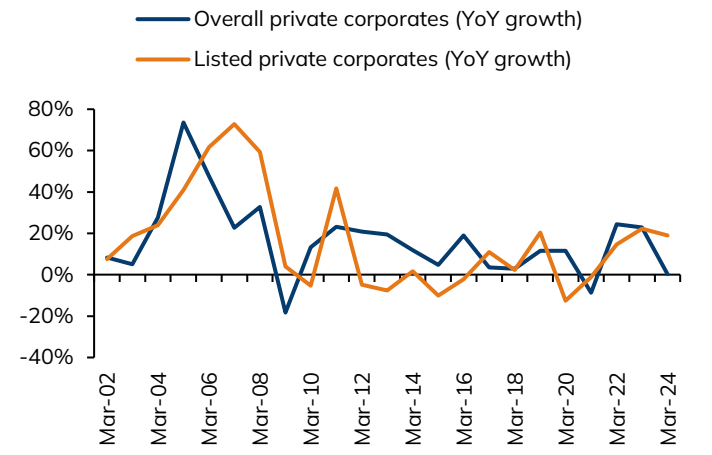
Source: CEIC, Capitaline, I-Sec Research

Exhibit 41: Significant upside likely from corporate capex



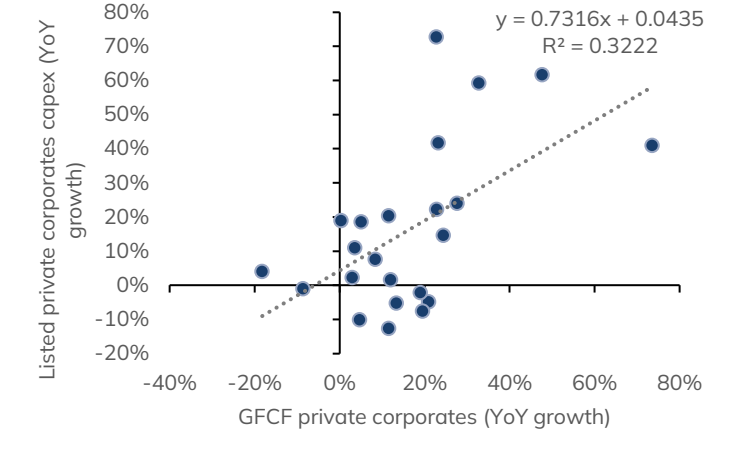
Source: CEIC, Capitaline, I-Sec Research

Exhibit 42: Listed corporate capex in line with overall private corporate capex trends in the economy



Source: CEIC, Capitaline, National Accounts Statistics I-Sec Research

Exhibit 43: Correlation of listed corporate capex and overall private corporate sector capex as per NAS



Source: CEIC, Capitaline, National Accounts Statistics I-Sec Research

Exhibit 44: Non-food industry credit composition

Industries	Oct'25 (%)	Oct'15 (%)	Oct'05 (%)
Infrastructure	33%	36%	20%
Other Industries	26%	22%	35%
Basic Metal & Metal Product	11%	15%	12%
Textiles	7%	7%	10%
Chemicals & Chemical Products	7%	6%	9%
All Engineering	7%	6%	7%
Food Processing	5%	5%	5%
Construction	4%	3%	2%

Source: CEIC, I-Sec Research

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